

TO SELL USING THIS STRATEGY, TAKE THE FOLLOWING STEPS:

Select the stock you want to trade.

Select the timeframe according to your trading style.

Wait for the price to break the previous low.

The sell entry is triggered when the previous low is broken.

SELL at the bottom of the candle which broke the previous low.

Place **STOPLOSS** above the swing high.

TARGET the next swing low or keep trailing.

In the above illustration, it is evident that the market was in a downtrend. While the market opened a gap-up due to short covering, it was still in the downtrend. Once a low was created by the price, we waited for its breakdown to enter a short trade. At 12:50 p.m., a strong bearish candle broke the swing low and continued to plummet below the previous low which confirmed the sell trade. Keeping the stoploss above the swing high, we trailed the target and booked below another swing low which gave us a good 1:3 Risk to Reward ratio.

The proponents of Dow theory believes in the market swings. When trading on Dow theory based strategies, you must confirm these trends with a momentum oscillator. Why? Because once a high or low is broken, the market needs strength to create another high or low. Without a momentum, the price will hover around the area and moves nowhere.